Arvind Ltd

Concall Tracker · Q2 2027 · first report

1. Snapshot

Ahmedabad-based textile group making denim and woven fabric and garments for global brands, plus an Advanced Materials business (protective gear, composites, industrial fabrics) that now includes Dalco-GFT in the US. It earns on the full chain from fabric to finished garment and on high-tech technical textiles.

Number	Value	What it means
Market cap	Rs 13,586 cr	What the market values the whole company at (Screener).
Q2 FY27 revenue	Rs 2,919 cr	Up 23% and a record; includes a full quarter of Dalco-GFT.
Q2 FY27 EBITDA	Rs 331 cr, margin 11.4%	Up 27%, a record; margin held despite costlier inputs.
Q2 FY27 profit	Rs 123 cr	Up 16% on last year.
Net debt	Rs 2,063 cr	Down about Rs 95 cr in the quarter; a QIP raised about Rs 500 cr to repay the acquisition loan in May 2027. CARE upgraded the rating to AA.
Stock P/E	48.3x	Expensive for a textile company (Screener).

2. Concall coverage

Quarter	Date	Transcript read?
Q3 FY26	30 Jan 2026	Yes (key passages)
Dalco-GFT acquisition call	7 May 2026	Yes (key passages)
Q1 FY27	13 Aug 2026	Yes (from the company website, linked in the NSE filing)
Q2 FY27	28 Oct 2026	Yes, read in full ★ (from the company website, linked in the NSE filing)

Only four calls were available in the download, covering about nine months. Screener's links were missing for the two latest calls, so they came from the company site. The consistency read is therefore limited.

Latest concall highlights: Q2 FY27 (28 Oct 2026)

- Record revenue (+23%) and EBITDA (+27%). Denim volume over 18 million metres, the highest in 17 quarters, up 19%; woven 34 million metres; garments over 11 million pieces for a second quarter.
- Advanced Materials revenue Rs 805 cr, up 81% with Dalco-GFT; India business up 23% for a fifth strong quarter, from protective gear and composites, including Indian defence orders. Margin 14.8%.
- Guidance: Advanced Materials growth of 18%-plus in Q3; garments back to mid-teens growth for the year with a stronger H2; Q3 order book 'extremely strong'. Capex above Rs 500 cr in FY27.
- New: Varanasi garment plant Phase 1 commissioned (Rs 250 cr revenue potential for Rs 75 cr capex); denim design hub in Amsterdam; first Egypt denim deliveries in Q3; Bangladesh garment conversion running.
- Costs: raw material and logistics inflation is outrunning price hikes, costing about 75-100 basis points of gross margin each quarter. Industrial capacity was delayed about 1.5 quarters by shipping problems.

Business mix & capacity

Domestic vs export: Not split into domestic and export in the call; the business serves global apparel brands (US, UK, Europe) and Indian defence, with Dalco-GFT in the US.

Capacity use: Denim about 70 million metres a year, now close to full; wovens about 140-150 million metres; garment capacity to rise about 15% this year. Protective gear and composites near full use.

3. Earning Trigger thesis

Arvind's trigger is the Advanced Materials business, now bigger after buying Dalco-GFT in the US. It sells protective gear and composites to defence, aerospace, data centres and industry, grows far faster than textiles and earns higher margins. On the textile side, denim volumes are at a four-year high, garments add capacity (Varanasi) and new trade deals with the UK and EU should bring more orders. The problem is cost inflation from the conflicts: margins are flat rather than rising as management wanted.

Trigger	What management said	Evidence so far	Time horizon	Strength
Advanced Materials (incl. Dalco-GFT)	18-20% growth aspiration (Jan 2026); 18%-plus in Q3	India +23%, total +81% with Dalco	FY27-FY28	Strong
Garment expansion	Mid-teens growth; a bigger greenfield plan being drawn up	Garment revenue +9% in Q2; Varanasi Phase 1 live	FY27-FY28	Moderate
UK and EU trade deals	UK orders from about Q4; maybe USD 10-12 million extra next year	Not yet in numbers	FY28	Unproven
Margin up 0.5% a year	Stated objective from about 11.5% last year	11.4% in Q2 FY27	FY27-FY28	Weak for now

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Net debt fell about Rs 95 cr this quarter, but acquisition debt will only be repaid in May 2027; long-term debt to stay at pre-Dalco level.
New business	Yes	Dalco-GFT's first full quarter; carbon composite capacity for drones, aerospace and defence (28 Oct 2026).
Margin up	No	Margin held at 11.4%; input costs eroding 75-100 bps of gross margin each quarter.
New management	No	No change.
New capacity	Yes	Varanasi garment Phase 1 commissioned; denim debottlenecking and garment capacity up about 15% (28 Oct 2026).
Big orders	Yes	Prestigious Indian defence orders in Advanced Materials; Q3 order book 'extremely strong' (28 Oct 2026).
Turnaround	No	Not a turnaround.
Promoter buying	No	Not mentioned; a QIP was done instead.

The single concrete driver: The Advanced Materials arm, now with Dalco-GFT in the US, is growing fast on defence, aerospace and industrial demand, while denim and garment capacity keep rising.

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Jan 2026	Advanced Materials 18-20% growth	India business +23% in Q2 FY27; fifth strong quarter	Delivered
May 2026	Dalco-GFT to grow about 9-10% at about 17% margin	On plan for growth; margin squeezed by petrochemical costs, price hikes accepted from September	Partly
Aug 2026	Garment mid-teens growth	H1 garment revenue growth single digits; H2 expected to catch up	Too-early
Ongoing	Margin up about 0.5% a year	Flat at about 11.4% under cost inflation	Missed so far
Aug 2026	New industrial capacity this year	Delayed about 1.5 quarters by logistics; now running	Partly

Narrative drift: The story is steady: fabric to garments to technical textiles, with Advanced Materials as the growth engine. Management is candid that cost escalations keep wiping out its margin work. The short window of calls read limits how far back the record can be checked.

5. Bottom line

Durable earning trigger? → YES

Advanced Materials is a named, growing driver already showing in record numbers, helped by Dalco-GFT and defence orders, with denim and garment capacity adding more.

Management consistent? → MAYBE

Advanced Materials delivered what was promised, but the margin goal and garment growth are behind and new capacity was delayed. Only four calls were read, so this is a thin record.

6. Checkpoints for next quarter

- Advanced Materials grows 18% or more in Q3 FY27
- Garment revenue growth picks up to mid-teens in H2
- EBITDA margin holds at about 11% or better

This is not investment advice. Do your own due diligence.